Customer Churn Analysis & Retention Strategy

Diagnostic Report on Customer Behavior, Revenue Impact, and Strategic Interventions



Prepared by Data Analytics Team | Source: Customer Churn Analysis Dashboard

Churn Dashboard

1869
Churn'Customer

2173
of Tech Tickets

885
of Admin Tickets

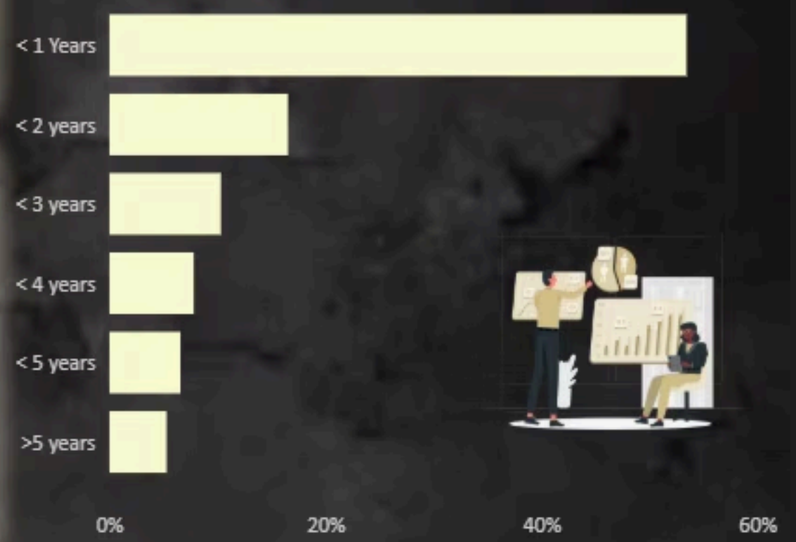
Monthly Charges
$139.13K

Yearly Charges
$2.86M

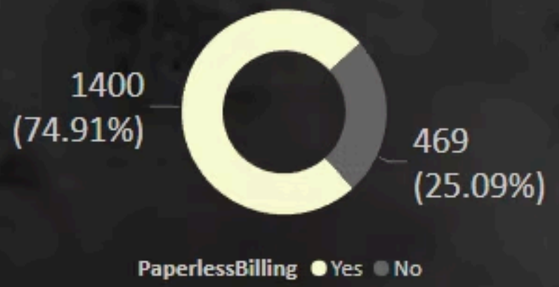
Payment Method Sources



Subscription Period Distribution



Paperless Billing

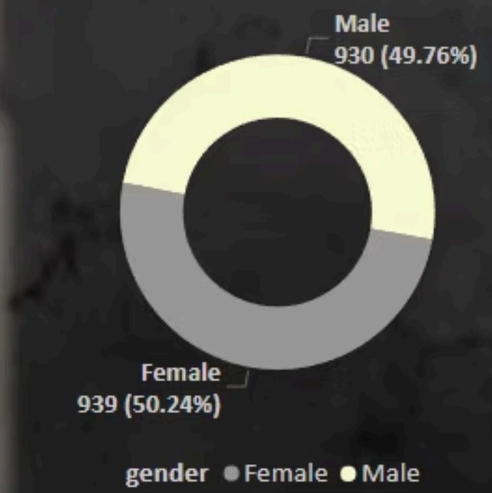


17%
Dependents

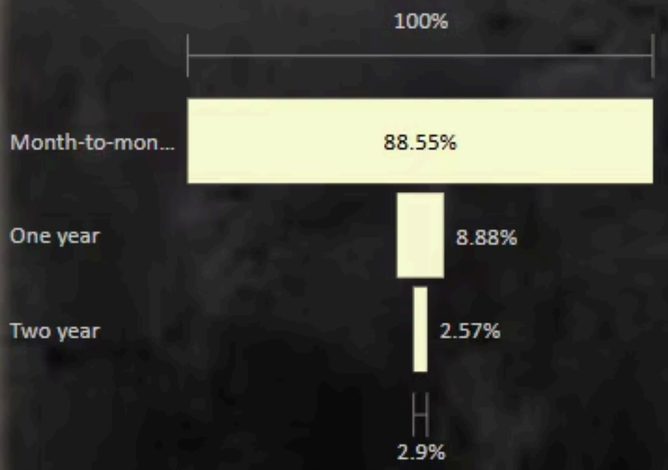
25%
Senior- Citizens

36%
Partners

Gender Distribution by gender



Contract Distribution



91% PhoneService
44% Streaming Tv
44% Streaming Movies
29% Device Protection
28% Online Backup
17% Tech Support
16% Online Sec..in %

Executive Summary: The State of Retention



$2.86M

Annualized Revenue Risk

Analysis of 1,869 churned customers reveals a monthly loss of $139.13K, projecting to a significant annual revenue drag.



88.55%

Month-to-Month Contracts

The customer base is highly volatile. The vast majority of churned users were not on fixed-term plans.



50%

Churn within Year 1

Churn velocity is highest in the early stages. Half of all attrition occurs within the first 12 months of service.



30%

Ancillary Service Adoption

Critical gap in “sticky” services. While Phone adoption is 91%, retention-driving services like Tech Support are under-utilized.

Strategic Objectives & Scope



Identify Drivers

Isolate the specific demographic, financial, and service-usage behaviors that statistically correlate with customer attrition.



Quantify Impact

Calculate the exact financial exposure across monthly and yearly timelines to prioritize high-leverage intervention efforts.



Optimize Strategy

Develop data-backed recommendations to migrate high-risk customers toward stickier contracts and automated payment methods.

Methodology & Data Architecture

Data Source

Customer Churn Analysis

Comprehensive tracking of metrics, billing, and subscriptions.

Scope

1,869 Records

Confirmed Churned Customers identified in the dataset.

Dimensions Analyzed

- Demographics (Age, Gender, Partners)
- Financials (Charges, Payment Methods)
- Service Ecosystem (Phone, Internet, Support)

Output

Strategic Diagnostic

Root cause analysis and financial impact modeling.

Revenue Exposure Analysis

1,869
Churned Customers

$2.86M
Yearly Revenue at Risk

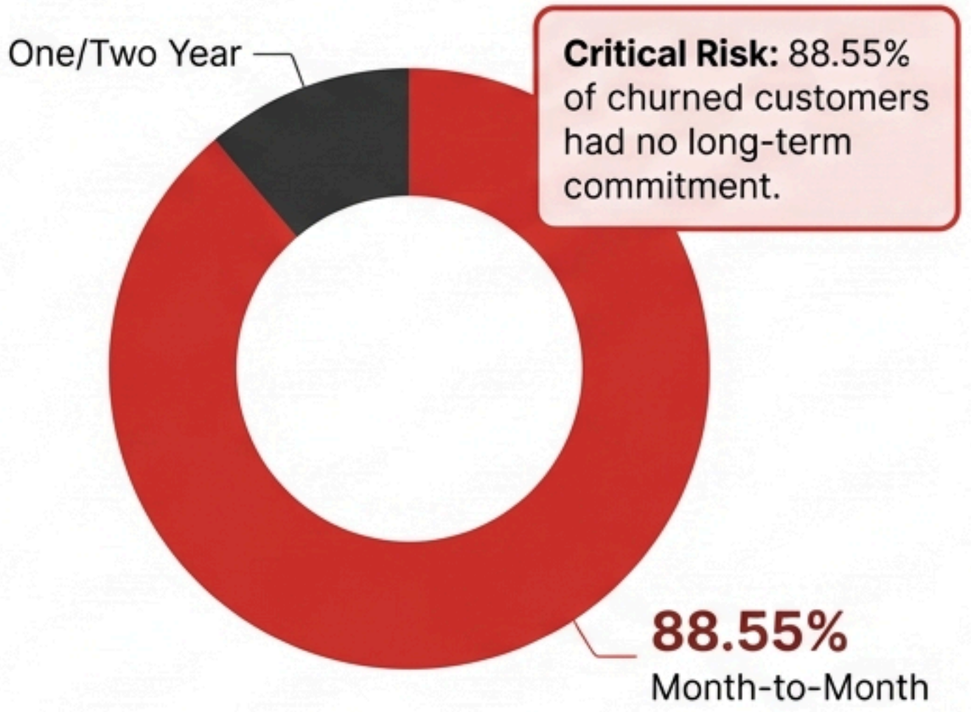
Financial Breakdown



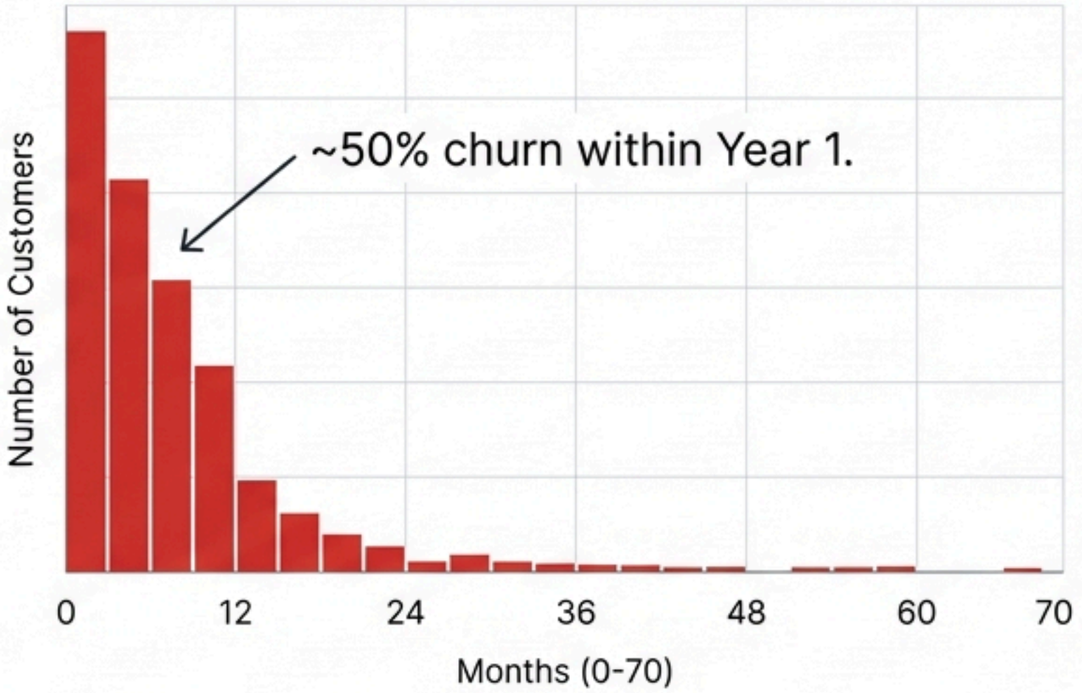
The cumulative effect of monthly churn presents a nearly $3M annual drag on top-line revenue. This loss is not tied to a single event but is a consistent erosion of the customer base.

The Stability Crisis: Contract Type & Tenure

Contract Mix



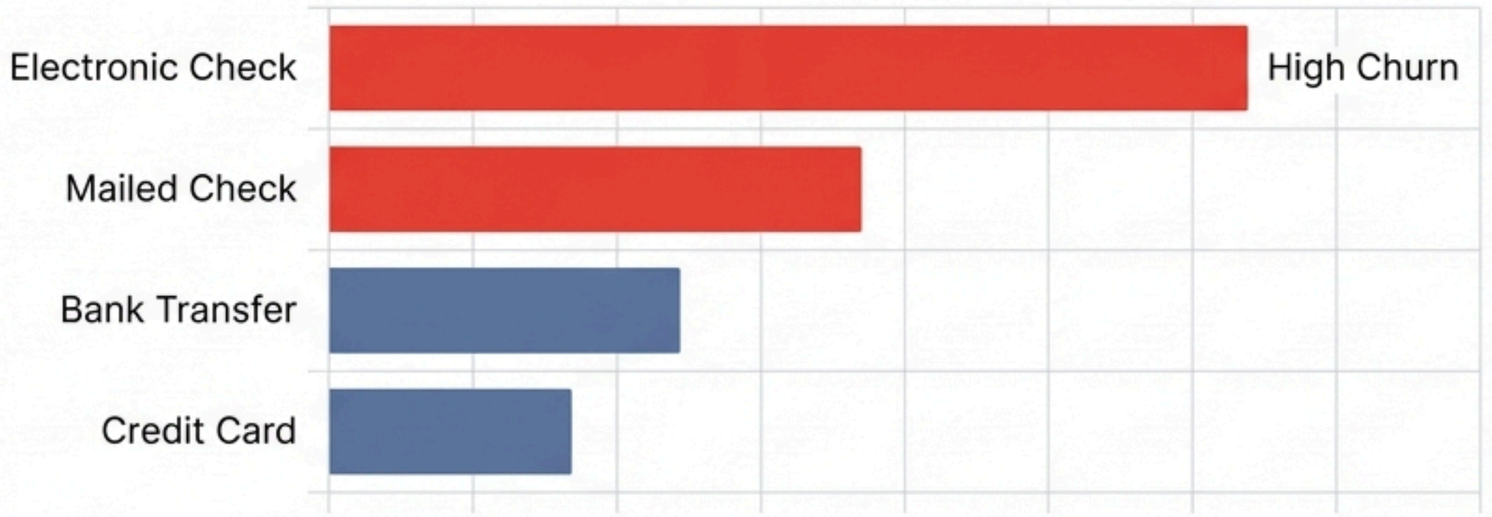
Churn by Tenure (Months)



Insight: There is a clear correlation between contract flexibility and attrition. The business is failing to secure long-term loyalty early, allowing new users to exit effortlessly.

Billing Friction & Payment Behavior

Payment Method & Churn





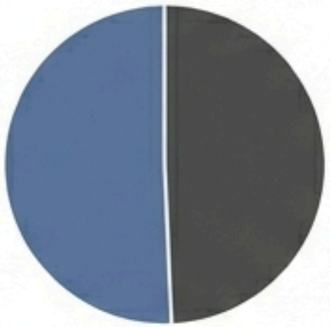
74.91%

of churned customers used Paperless Billing

Insight: The high churn rate among paperless and electronic check users suggests that customers with low administrative friction are also the most prone to switching providers. “Convenience” in billing correlates with “convenience” in leaving.

Demographic Profile of the At-Risk Customer

Gender



Male 49.76% / Female 50.24%

Neutral Factor

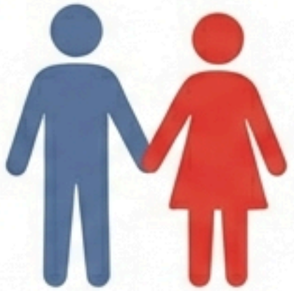
Dependents



17%

Low Family Lock-in

Partners



36%

Majority are Single Users

Age Profile

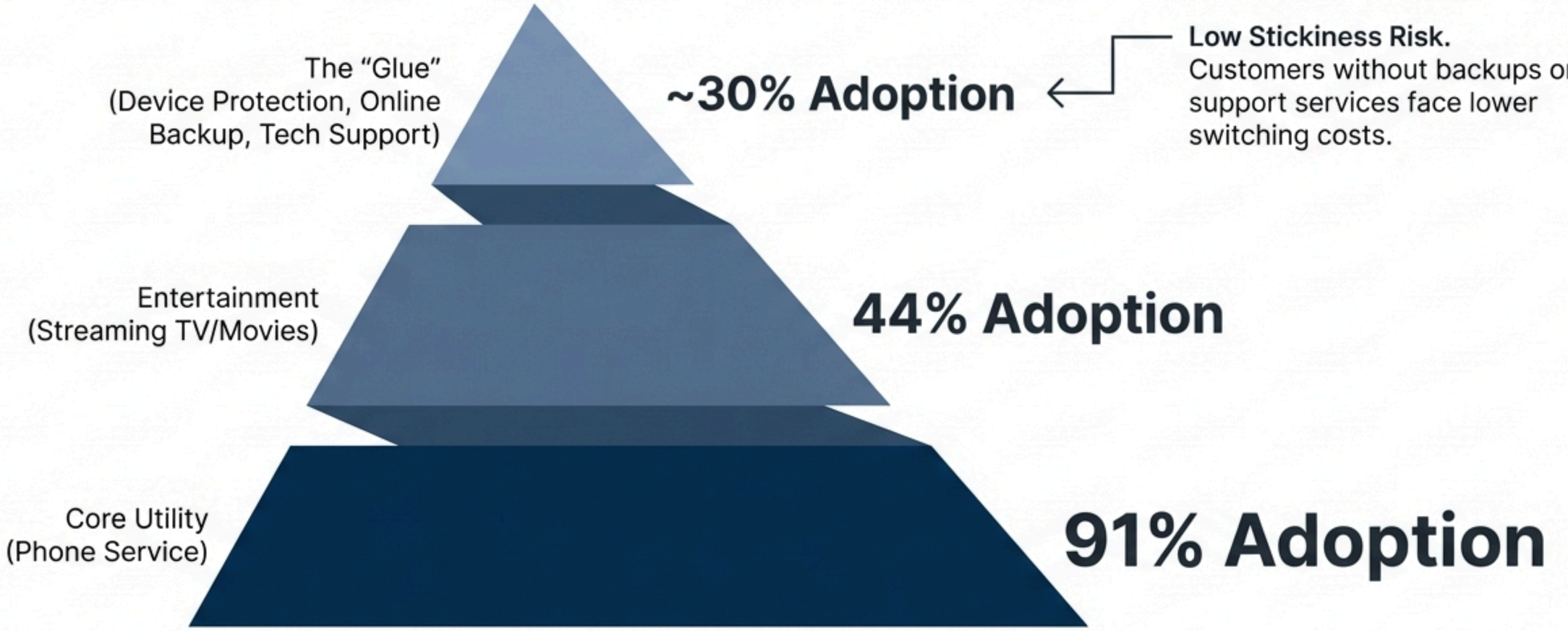


25%

Senior Citizens

Insight: Single users (no partner/dependents) represent the highest flight risk, likely due to lower household reliance on the service infrastructure.

Service Saturation & Ecosystem "Stickiness"



Strategic Recommendations & Action Plan

Observation	Recommendation
88% Month-to-Month Contracts.	**Launch “Year-1 Loyalty Incentive”.** Offer rate discounts for switching to 1 or 2-year terms after the first 90 days.
50% Churn in <1 Year.	**Overhaul Onboarding Journey.** Implement proactive check-ins at Day 30, 60, and 90 to ensure service satisfaction.
Low Adoption of Tech Support (~30%).	**Bundle Protection Packages.** Include Backup + Tech Support in the standard Phone Service tier to increase perceived value.

Summary of Project Impact

The Bottom Line:
Addressing the "Year 1 / Month-to-Month" vulnerability is the single highest-leverage activity to recover the identified $2.86M revenue risk.

Next Steps

- Approve new contract incentive structures.
- Initiate targeted retention campaigns for "Electronic Check" segment.
- Monitor churn rate changes quarterly via Dashboard.

Data-driven retention is the path to sustainable growth.

Decoding Customer Churn: A Data Snapshot

An analysis of 1,869 churned customers revealed key patterns in their contracts, billing preferences, demographics, and service usage. These insights help identify the highest-risk customer segments.

CONTRACT & BILLING PROFILE





This flexible contract type represents the vast majority of churn.

Half of Churned Customers Leave Within Their First Year



New customers with short tenures are a significant churn risk.

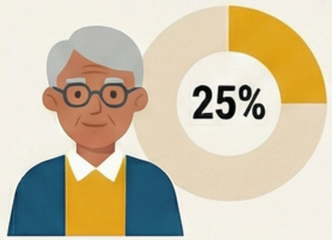


75% of Churned Customers Use Paperless Billing



Electronic check is the most common payment method among this group.

DEMOGRAPHICS & SERVICE USAGE

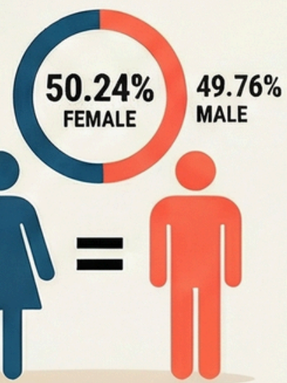


1 in 4 Churned Customers are Senior Citizens

Seniors represent a significant demographic segment among churned users.

Low Adoption of Add-On Services





Gender is Not a Distinguishing Factor in Churn

The gender distribution of churned customers is nearly equal.

Thank You

This project demonstrates my approach to data analytics—transforming raw data into insights that support retention strategy and business decisions. I'm actively building projects across Data Analytics and Data Science and welcome feedback, collaboration, or discussion.

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